CHAPTER 21

P U B L I C A N D Q U A S I - P U B L I C F I N A N C E

GOVERNMENT RECEIPTS AND EXPENDITURES

In the past quarter century, most national treasuries have lived, at least for many years, in the adventurous, trying and controversial world of deficits and deficit financing. Not so the Government of Palestine: it has enjoyed the safety, comfort and conventional good repute that go with a budgetary surplus. From one point of view, Palestine may have had a more serious deficit than many countries with less conventionally tidy financial statements -- a deficit in development works not attempted and in social services not provided, a deficit in a lower level of national income and a lower quality of popular culture than would have been attainable with another fiscal policy: that is not, however, the kind of deficit that appears in financial accounts.

Receipts, Expenditures and Surplus of Palestine Government, 1920-44
(Thousands of £P)

	Receipts	Expenditures	Cumulative Surplus
July 1, 1920-March 31, 1924	6,994	6,748	246
April 1, 1924-March 31, 1929	12,271	11,767	749
April 1, 1929-March 31, 1934	14,174	12,413	2,511
April 1, 1934-March 31, 1939	26,699	26,530	2,533*
April 1, 1939-March 31, 1944	43,901	45,991	652
TOTAL	104,039	103,450	652*

Source: Government of Palestine, Report on the Accounts and Finances ..., Jerusalem, 1944. Figures are not entirely comparable over the years; a major change took place in 1929, when railroad expenditures were shifted from a gross to a net basis. *Includes adjustment for depreciation or appreciation of investments.

The table above does not include receipts or expenditures from the proceeds of Palestine's one public loan. In 1927 the Government of Palestine issued a 5 percent sterling loan of £ 4,475,000 (1942-67), fully guaranteed as to principal and interest by the British Treasury. This loan was used principally for the purchase of the railroad system and further railroad, harbor, telephone and telegraph development. All subsequent capital outlays have been financed out of current receipts. In 1942 the 1927 loan was in part